Corporate Governance Report

The Corporate Governance framework for Mindteck (India) Limited ('Mindteck' or 'the Company') is a reflection of its culture, policies, relationship with stakeholders and commitment to values. Accordingly, Mindteck always seeks to ensure that its performance is driven by integrity in order to retain the trust of its stakeholders.

The Securities Exchange Board of India (SEBI) amended the Listing Agreement effective October 01, 2014, to implement comprehensive Corporate Governance norms for listed Companies. These norms provide stringent disclosures for protection of investor rights, including equitable treatment for minority and foreign shareholders. The amended norms are aligned with the provisions of the Companies Act, 2013, and are aimed to encourage companies to adopt best Corporate Governance practices.

Accordingly, Mindteck complies with Corporate Governance as per Clause 49 of the Listing Agreement. As per Clause 49 of the Listing Agreement with the Bombay Stock Exchange (BSE), a report containing the details of the governance system and processes at Mindteck is as under:

I COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Company's philosophy on Corporate Governance envisages attainment of the highest levels of transparency, accountability and equity in all facets of its operations and in all its transactions with its stakeholders, including its employees, customers, shareholders, suppliers, partners and alliances, supporting agencies, Government, and society at large.

The Management aims to achieve its objective of increasing stakeholders' value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning. It has also established the WE CARE framework for honoring commitments to, and ensuring a positive experience by, our key stakeholders.

The overall responsibility for guiding Corporate Governance within the Company rests with the Board of Directors ('the Board'), which has put in place appropriate policies, guidelines, etc. The day-to-day implementation and monitoring of these policies and guidelines rest with the management of the Company. These policies are in consonance with the requirements of the Companies Act, 2013, Listing Agreement and applicable SEBI Regulations. Keeping in view the Company's size, complexity, global operations and corporate traditions, Mindteck has adopted the following main principles and philosophies:

(i) Constitution of the Board of the Company and Committees of Directors of appropriate composition, size and expertise.

(ii) Complete transparency in the operations of the Company.

(iii) Maintaining prescribed levels of disclosure and complete openness in communication.

(iv) Independent verification and safeguarding integrity of the Company's financial reporting.

(v) A sound system of risk management and internal control.

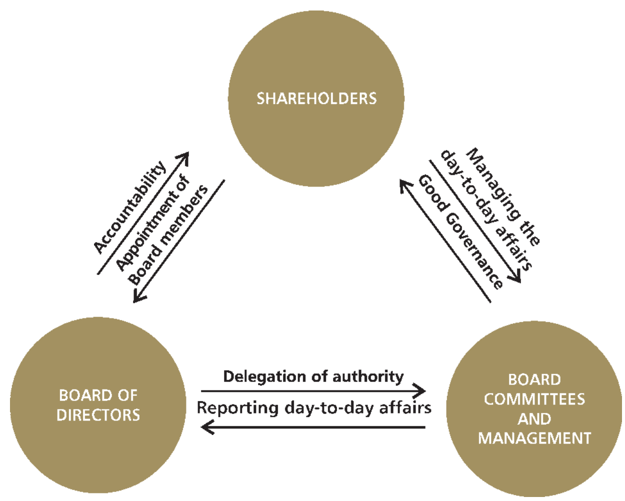
(vi) Timely and balanced disclosure of all material information concerning the Company to its stakeholders.

(vii) A system to ensure compliance with applicable laws of all countries in which Company operates.

(viii) Maintenance of high standards of safety and health.

(ix) Adhere to good governance practices in spirit and not just in letter.

II THE GOVERNANCE STRUCTURE AT MINDTECK



The governance mechanism adopted at Mindteck:

(i) The Board is appointed by the shareholders and is vested with the responsibility of conducting the affairs of the Company with the objective of maximization of returns to all stakeholders.

(ii) The Board of Directors is responsible for the overall vision, strategy and good governance of the Company. The Board and Committees ensure accountability and transparency in the affairs of the Company to the Stakeholders by directing and controlling the management activities.

(iii) The Chairman and Managing Director along with the Senior Management are responsible for setting up business targets and day-to-day management of the Company in line with the objectives and principles set by the Board.

A. GOVERNANCE BY THE BOARD OF DIRECTORS

Composition:

The Board of Directors ('the Board') is at the core of Corporate Governance practice and oversees how the Management serves and protects the long-term interests of all stakeholders of the Company. The Company's Board has an optimum combination of Executive, Non-Executive and Independent Directors, including a woman Director, with considerable experience in their respective fields to maintain the independence of the Board and to separate the functions of the Board from the management of the Company. There is a clear demarcation in the roles and responsibilities of the Chairman and the Board.

As at March 31, 2015 the Company had five Directors, of which three Directors are Independent, as defined in the Companies Act, 2013 and Clause 49 of the Listing Agreement. The Chairman and Managing Director manage the day-to-day affairs of the Company. The Board believes that its current size is appropriate based on the present circumstances. The Board periodically evaluates the need for change in its composition and size.

None of the Directors on the Board hold directorships more than the statutory maximum limit as prescribed under the Companies Act, 2013 and Clause 49 of the Listing Agreement. Thus, none of the Directors on the Board are members of more than ten Committees or act as Chairman of more than five Committees across all companies in which they are Directors.

The names and categories of the Directors on the Board, directorships and their shareholdings are as follows:

Table No. 01

Director	Designation and Category	Age	Equity Shareholding	No. of Directorship*		Committees	
				Public	Private	Chairman	Member
Mr. Yusuf Lanewala	Chairman and Managing Director	61	Nil	-	1	-	-
Mr. Dayananda Shetty(1)	Executive Director	68	Nil	-	-	-	-
Mr. Meenaz Dhanani	Executive Director	58	Nil	-	-	-	-
Mr. Javed Gaya	Independent Director	59	Nil	1	5	1	-
Mr. Narayan A. Menon	Independent Director	66	Nil	-	-	-	-
Mr. Jagdish Malkani	Independent Director	59	Nil	-	2	-	-
Ms. Prochie Sanat Mukherji(2)	Independent Director	66	Nil	-	-	-	-

* Excluding Directorship in Mindteck (India) Limited and Directorship in Foreign Companies.

(1) Resigned as an Executive Director w.e.f. August 14, 2014.

(2) Appointed as an Independent Director w.e.f April 28, 2015 subject to the approval of the shareholders at the Annual General Meeting, 2015.

All the Independent Directors furnish to the Company a declaration at the time of their appointment that they qualify the test of Independence as laid down in Section 149(6) of Companies Act, 2013 along with Clause 49 of the Listing Agreement and certify annually regarding their independence. The process of selection of Independent Directors is rigorous, transparent and objective and is aligned with the needs of the Company. None of the Independent Directors have any material pecuniary relationship or transactions with the Company. None of Independent Directors served on the Board of our company for more than ten years.

Board Definition of Independent Directors:

The Company has defined the independence as stipulated under Section 149(6) of Companies Act, 2013 and Clause 49 of the Listing Agreement. Accordingly, an Independent Director means a person who is not an officer or employee of the Company or its subsidiaries or any other individual having a material pecuniary relationship or transactions with the Company which, in the opinion of Board of Directors, would interfere with the exercise of independent judgment in carrying out the responsibilities of a Director.

Independent Directors Familiarisation Programme:

Mindteck has a well-established familiarization programme for its Independent Directors. The Executive Directors, Chief Operating Officer, Chief Financial Officer, Company Secretary and other Executives make presentations on business models, nature of industry and its dynamism, the roles, responsibilities and liabilities of Independent Directors, etc. Further, business updates, statutory law updates and industry updates are made available to Independent Directors, especially to the Audit Committee members on an ongoing basis by internal teams, and the Statutory and Internal Auditors on a quarterly basis. **(Weblink: http://www.mindteck.com/pdf/IDFP050515.pdf).**

Board Meetings:

The Board meets once in a quarter and additionally as and when required. The calendar of the Board meetings is decided in consultation with the Board and the schedule of meetings is communicated to all Directors in advance to enable them to schedule their effective participation during the Board meetings. The items in the Agenda are backed by comprehensive background information to enable the Board to take appropriate decisions. In addition to the information required under Annexure X to Clause 49 of the Listing Agreement, the Board is also kept informed of major events/items and approvals taken wherever necessary.

The Board met five times in the financial year 2014-2015 – April 04, 2014, May 29, 2014, August 13, 2014, November 07, 2014 and February 06, 2015.

Sitting Fees:

The Company paid sitting fees of Rs. 50,000 per meeting to its Independent Directors for attending meetings of the Board and Rs. 20,000 for attending Committee meetings effective from August 13, 2014. (The Company had paid Rs. 20,000 for Board meeting and Rs. 10,000 for all Committee meetings prior to August 13, 2014).

Details of attendance of the Directors and sitting fees paid to them are as follows:

Table No. 02

Name of the Director	No. of Board Meetings during 2014-15		Whether attended last AGM held on August 14, 2014	Sitting fees for Board and Committee meetings (in Rs.)
	Held	Attended		
Mr. Yusuf Lanewala	5	4	Yes	Nil
Mr. Dayananda Shetty(1)	5	2	Yes	Nil
Mr. Meenaz Dhanani	5	1	Yes	Nil
Mr. Javed Gaya	5	5	Yes	380,000
Mr. Narayan A. Menon	5	3	Yes	270,000
Mr. Jagdish Malkani	5	5	Yes	380,000
Ms. Prochie Sanat Mukherji(2)	5	-	No	Nil

(1) Resigned as an Executive Director w.e.f. August 14, 2014.

(2) Appointed as an Independent Director w.e.f. April 28, 2015 subject to the approval of the shareholders at the Annual General Meeting, 2015.

Non-Executive/Independent Directors' remuneration:

The members at the Annual General Meeting of the Company on August 14, 2014, approved the payment of profit-related commission to the Non-Executive Directors, including Independent Directors, within the ceiling of 1% of the net profits of the Company as computed under the applicable provisions of the Companies Act, 2013. The amount of the said commission will be decided each year by the Board of Directors and distributed amongst the Non-Executive Directors including Independent Directors. The remuneration paid/payable to Independent Directors of the Company for FY 2014-15 is annexed to the Directors Report. The Company also reimburses the out-of-pocket expenses incurred by the Directors for attending the Meetings.

Shares and options held by Non-Executive/ Independent Directors:

None of the Non-Executive/Independent Directors hold shares or options in the Company.

Remuneration to Chairman and Managing Director, and Executive Directors:

The Company paid remuneration to Mr. Yusuf Lanewala, Chairman and Managing Director, a sum of 9,176,700 (including Rs. 1,000,000 of Commission pertaining to FY 2013-14) and Mr. Dayananda Shetty(1), Executive Director, a sum of Rs. 2,299,136 (including Rs. 450,000 of Commission pertaining to FY 2013-14) during the year as approved by the shareholders at the Annual General Meeting held on August 14, 2014. In addition to the above, 200,000 Stock options under Mindteck Employees Stock Option Scheme 2008, was granted at Rs. 30.35 to Mr. Yusuf Lanewala on April 04, 2014.

The Company did not pay any remuneration to Mr. Meenaz Dhanani, Executive Director, as he was drawing remuneration from the Company's wholly-owned subsidiary Mindteck, Inc. in the US.

(1) Resigned as an Executive Director w.e.f. August 14, 2014.

Proceedings of Board Meetings:

The agenda items for the Board meetings are decided in advance in consultations with heads of various functions and the Chairman and Managing Director. Every Board member can suggest additional items for inclusion in the agenda. Functional heads, who can provide additional insights into the items discussed in the Board Meetings, are also invited to the Board Meetings. The decisions taken at the Board Meetings are promptly communicated to all concerned departments for the completion of the action items arising out of the deliberations of the meeting. Report on the action items are placed before the Board at its succeeding meeting.

Information and updates to Board of Directors:

- Annual operating plans and budgets, including capital budgets and any updates.
- Quarterly results for the Company and its operating divisions or business segments and monthly MIS information on the key operational parameters of the Company.
- Minutes of meetings of the Audit Committee, other Committees of the Board and subsidiaries.

- The information on recruitment and remuneration of senior officers.
- Show cause, demand, prosecution notices and penalty notices, which are materially important, if any.
- Fatal or serious accidents, dangerous occurrences, any material effluent or pollution problems, if any.
- Any material default in financial obligations to and by the Company, or substantial non-payment for services rendered by the Company, if any.
- Any issue which involves possible public or product liability claims of substantial nature, including any judgment or order which may have passed strictures on the conduct of the Company or taken an adverse view regarding another enterprise that can have negative implications on the Company, if any.
- Details of any joint venture or collaboration agreement or acquisition, if any.
- Transactions that involve substantial payment towards goodwill, brand equity or intellectual property, if any.
- Significant labour problems and their proposed solutions. Any significant developments on the Human Resources/Industrial Relations front like signing of wage agreements, implementation of Voluntary Retirement Scheme, etc., if any.
- Sale of material nature, of investments, subsidiaries, assets, which is not in normal course of business, if any.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.
- Non-compliance with or violations of any regulatory, statutory or listing requirements and shareholders service such as non-payment of Dividend or delay in share transfers, etc., if any.

All the information to be provided to the Board as per Annexure-X of Clause 49 of the Listing Agreement has been made available to the Board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company's Management on a quarterly basis. In case of business exigencies, resolutions of the Board are passed by circulation.

Recording minutes of proceedings at Board and Committee Meetings:

The Company Secretary records the Minutes of the proceedings of each Board and Committee Meetings. Draft minutes are circulated to all the members of the Board/ Committee Meetings for their comments. The minutes are entered in the Minutes book immediately on approval and signed.

Post meeting follow up mechanism:

The important decisions taken at the Board/Committee meetings are communicated promptly to the concerned departments/divisions and Bombay Stock Exchange wherever necessary to comply with the Listing Agreement. An Action Taken Report on the decisions/minutes of the previous meeting(s) is placed at the following meeting of the Board/ Committee for noting and taking on record. Thus, an effective post meeting follow up, review and reporting of the decisions taken at the Board/Committee meetings is ensured.

B. GOVERNANCE BY SUB-COMMITTEES OF THE BOARD OF DIRECTORS

Your Company has the following committees of Board of Directors:

(i) Audit Committee
(ii) Nomination and Remuneration Committee
(iii) Stakeholders Relationship Committee
(iv) Corporate Governance Committee
(v) Corporate Social Responsibility Committee
(vi) Risk Management Committee

(i) Audit Committee

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, 2013 which has all the necessary features as required by the Listing Agreement.

(a) Composition:

Narayan A. Menon, Chairman (Independent Director)

Javed Gaya, Member (Independent Director)

Yusuf Lanewala, Member (Chairman and Managing Director)

Jagdish Malkani, Member (Independent Director)

Mr. Shivarama Adiga S., Company Secretary, acted as Secretary for all the Audit Committee meetings held in 2014-15.

(b) Powers: Powers of the Audit Committee include:

(i) To investigate any activity within its responsibilities.

(ii) To have independent back office support and other resources from the company.

(iii) To have access to information contained in the records of the Company or from any employee.

(iv) To obtain legal or professional advice from external sources.

(v) To have the facility of separate discussions with both internal and external auditors as well as the management.

(vi) To secure attendance of outsiders with relevant expertise, if it considers necessary.

(c) Roles and Responsibilities:

(i) Recommend the appointment, re-appointment and removal of external auditor and internal auditor, approve terms of engagement, including fixation of audit fee, and also approve the payment for any other services. The Committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process.

(ii) Review the financial reporting process and the disclosure of financial information of the Company, as well as subsidiaries, to ensure that the financial statement is correct, sufficient and credible. Also, monitor the integrity of the financial statements of the Company.

(iii) Review, with management, the quarterly and annual financial statements before submission to the Board, focusing primarily on:

- Any changes in accounting policies and practices and reasons for the same.
- Major accounting entries based on exercise of judgment by management.
- Qualifications in draft audit report.
- Significant adjustments arising out of audit.
- The going concern assumption.
- Compliance with accounting standards.
- Compliance with Stock Exchange and legal requirements concerning financial statements.
- Management Discussion and Analysis of financial conditions and results of operations.
- Directors' Responsibility Statement.

(iv) Review, with management, the statement of uses/ application of funds raised through an issue (i.e. Public issue, rights issue, preferential issue, etc.), the statement of funds utilized for the purposes other than those stated in the offer documents/ prospectus/notice and the report submitted by the monitoring agency which monitors the utilization of proceeds of the public/rights issue, as well as recommend to the Board the steps to be taken in this regard.

(v) Review the adequacy of internal control systems and review internal audit reports, management letters relating to internal control weaknesses, if any.

(vi) Review the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit.

(vii) Discussion, review and follow up on the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature, including management override of internal controls and financial irregularities involving management team members.

(viii) Discussions with external auditors before the audit commences about the nature and scope of the audit, and have post-audit discussions to ascertain any areas of concern.

(ix) Review the Company's financial and risk management policies and systems. Assist executive management to identify the risk impacting the Company's business and document the process of risk identification, risk minimization and risk optimization as a part of risk management policy.

(x) Look into the reasons for substantial defaults in the payment to depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors, and monitor utilization of funds raised through public and preferential issues.

(xi) Review the functioning of the Whistle Blower mechanism established in the Company.

(xii) Approve the appointment of the CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing his/her qualifications, experience and background.

(xiii) Monitor and approve all Related Party Transactions including any modification/amendment with promoters or the management, their subsidiaries or relatives, etc., that may have potential conflict with the interests of Company at large and periodically review the minutes of subsidiary companies.

(xiv) Any other matter referred to the Audit committee by the Board of Directors of the Company.

(d) Meetings: The Audit Committee meeting was conducted four times during the year on May 29, 2014, August 13, 2014, November 07, 2014 and February 06, 2015. The approved minutes of the meetings were placed before the Board at the succeeding Board Meeting for information. The quorum of the Committee is two members or one-third of its members, whichever is higher. Quorum was present at all the meetings.

Attendance Record in Audit Committee Meetings held during the year are as follows:

Table No. 03

Members	No of meetings	
	Held	Attended
Mr. Narayan A. Menon, Chairman	4	3
Mr. Javed Gaya	4	4
Mr. Yusuf Lanewala	4	4
Mr. Jagdish Malkani	4	4

(ii) Nomination and Remuneration Committee

(a) Composition:

Javed Gaya, Chairman (Independent Director)

Narayan A. Menon, Member (Independent Director)

Jagdish Malkani, Member (Independent Director)

(b) Powers/Roles: The terms of reference of the Nomination and Remuneration Committee include the following:

(i) To decide on all matters relating to the Company's stock option/share purchase schemes including the grant of options/shares to the Directors and employees of the Company and/or of its subsidiaries.

(ii) To determine and make suitable recommendations to the Board in all matters relating to qualification, appointment, evaluation and remuneration of the Independent Directors of the Board, Executive Directors of the Company and its managerial personnel under the Companies Act, 2013 and Clause 49 of the Listing Agreement.

(iii) To review performance and determine the remuneration payable to Executive Directors.

(iv) Establishment and administration of employee compensation and benefit plans.

(v) To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/listing agreements, etc.

(c) Meetings: The Committee held four meetings during the year – May 29, 2014, August 13, 2014, November 07, 2014 and February 06, 2015.

Attendance Record in Nomination and Remuneration Committee meetings held during the year is as follows:

Table No. 04

Members	No of meetings Held	No of meetings Attended
Mr. Javed Gaya, Chairman	4	4
Mr. Narayan A. Menon	4	3
Mr. Jagdish Malkani	4	4

(d) The Nomination and Remuneration policy is annexed to the Board's Report.

(iii) Stakeholders Relationship Committee

(a) Composition:

Javed Gaya, Chairman (Independent Director)

Yusuf Lanewala, Member (Chairman and Managing Director)

Dayananda Shetty,(1) Member (Executive Director)

Jagdish Malkani, Member (Independent Director)

(1) Resigned as an Executive Director w.e.f. August 14, 2014.

Mr. Shivarama Adiga S., Company Secretary, acts as the Chief Compliance Officer.

(b) Powers/Roles: The Stakeholders Relationship Committee approves the transfer of shares, issue of split and duplicate share certificates, etc. The Committee also oversees redressal of the shareholders' grievances/complaints and compliance with the SEBI (Prohibition of Insider Trading) Regulations, 1992 and 2015. Further, the Committee has delegated the power of transfer of shares to the Company Secretary and to M/s. Universal Capital Securities Pvt. Ltd, the Company's Registrars and Share Transfer agents, to attend to share transfers generally once in 15 days, which are placed before the Board along with the investors complaints periodically for the purpose of noting.

(c) Meetings: The Committee met three times during the year – May 29, 2014, August 13, 2014 and November 07, 2014. The minutes of the meetings were placed before the Board at the following Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Stakeholders Relationship Committee Meetings held during the year is as follows:

Table No. 05

Members	No of meetings Held	No of meetings Attended
Mr. Javed Gaya, Chairman	3	3
Mr. Yusuf Lanewala	3	3
Mr. Dayananda Shetty(1)	3	2
Mr. Jagdish Malkani	3	3

(1) Resigned as an Executive Director w.e.f. August 14, 2014.

Report of Investor Complaints received and disposed of during year ended March 31, 2015:

Table No. 06

	No. of cases outstanding as on April 01, 2014	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2015
No. of Investor issues	Nil	Nil	Nil	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than 15 days. There were no cases that were not resolved to the satisfaction of the shareholders.

(iv) Corporate Governance Committee

(a) Composition:

Narayan A. Menon, Chairman (Independent Director)

Yusuf Lanewala, Member (Chairman and Managing Director)

Jagdish Malkani, Member (Independent Director)

Meenaz Dhanani, Member (Executive Director)

(b) Objective: The objective of the Committee is to ensure excellence in governance, foster exemplary standards of business conduct, aim to achieve highest levels of transparency, accountability and equity in all facets of operations and transactions in pursuit of increased value to stakeholders.

(c) Terms of reference of the Corporate Governance Committee:

(i) Review Board/Corporate Codes and make suitable recommendations to the Board from time to time.

(ii) Review the Structure/Charters of other Board Committees and make suitable recommendations to the Board from time to time.

(iii) Recommend best practices and standards in any particular area to the Board of Directors as per its mandate.

(d) Meetings: During the year, the Committee did not meet.

(v) Corporate Social Responsibility Committee (CSR)

(a) The Committee was constituted on May 29, 2014 in order to comply with the Companies Act, 2013, as well as institute giving back in kind and in deed as we achieve success around the globe.

(b) Composition:

Yusuf Lanewala, Chairman (Chairman and Managing Director)

Javed Gaya, Member (Independent Director)

Jagdish Malkani, Member (Independent Director)

(c) Objective: To formulate and manage CSR activities as and when appropriate and approved by the Board of Directors from time to time and to comply with all the statutory requirements under the Companies Act, 2013.

(d) Terms of reference of the Corporate Social Responsibility Committee:

i. Formulate and recommend to the Board, a Corporate Social Responsibility Policy that shall indicate the activities to be undertaken by the company as specified in Schedule VII of the Companies Act, 2013.

ii. Recommend appropriate targeted CSR funding to the Board.

iii. Monitor the Corporate Social Responsibility Policy of the company from time to time.

iv. Institute a transparent monitoring mechanism for implementation of CSR projects/programs/activities.

v. Monitor implementation of CSR activities on a quarterly basis.

vi. Approve projects/programs/activities as approved by the Central Government.

(e) Meetings: During the year, the committee did not meet.

(vi) Risk Management Committee

(a) The Committee was constituted on November 07, 2014 in order to comply with Clause 49 of the Listing Agreement.

(b) Composition:

Yusuf Lanewala, Chairman (Chairman and Managing Director)

Meenaz Dhanani, Member (Executive Director)

Anand Balakrishnan, Member (Chief Financial Officer)

(c) Objective: The Risk Management Committee is concerned with the formulation and implementation of a systematic, structured and a disciplined approach for identification, assessment and management of potential risks and opportunities arising in the course of business.

(d) Terms of reference of the Risk Management Committee:

i. Maximization of stakeholders' wealth.

ii. Promote an innovative and a less risk-adverse culture.

iii. Encourage managers to take well-informed and calculated risks.

iv. Ensure an efficient use and allocation of organizational resources.

v. Preserve, protect and enhance Mindteck's image and brand assets.

vi. Identify and assess risks elements.

vii. Implement suitable strategies to mitigate such risk.

(e) Meetings: The Committee met one time during the year-March 18, 2015. The minutes were placed before the board at the following board meeting for information. Quorum was present at the meeting.

Table No. 07

Members	No of meetings	
	Held	Attended
Mr. Yusuf Lanewala, Chairman	1	1
Mr. Meenaz Dhanani	1	-
Mr. Anand Balakrishnan	1	1

C. GOVERNANCE BY MANAGEMENT OTHER DISCLOSURES:

Related Party Transactions:

During the year 2014-15, no materially significant related party transactions were entered into by the Company with the Directors or management or their relatives that may have a potential conflict with the interest of the Company at large. The details of the transactions with subsidiaries at arm's length basis are separately shown in Annexure to Boards Report and Notes to accounts 3.17 of the Financials as at March 31, 2015. The Company's Related Party Transaction Policy is available on website

(weblink:http://www.mindteck.com/pdf/policies/RPT_Policy.pdf)

Details of non-compliance by the Company, penalties, and strictures imposed on the Company by Stock Exchanges or Securities and Exchange Board of India ('SEBI') or any statutory authority, on any matter related to capital markets, during the last three years:

No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

COMPLIANCE CERTIFICATES:

Certificate on Corporate Governance:

As required under Clause 49 of the Listing Agreement, the Certificate is obtained from Practicing Company Secretary and annexed to the Board's Report.

CEO and CFO Certificate:

The Certificate given by the Chairman and Managing Director, and Chief Financial Officer as per Clause 49 in the prescribed format also forms part of this Annual Report.

Code of Business Conduct and Ethics:

In compliance with Companies Act, 2013 and Clause 49 of the Listing Agreement, the Company has adopted a Code of Business Conduct and Ethics for all employees including Directors of the Company and its subsidiaries. All members of the Board and Senior Management Personnel have affirmed compliance with the Company's Code of Business Conduct and Ethics. A copy of the said Code of Business Conduct and Ethics is available on website **(www.mindteck.com)**

Compliance with Laws:

Mindteck believes in commitment to values and compliance of laws which are the hallmarks of good Corporate Governance. Legal Compliance Management at Mindteck transcends to compliances as a yardstick to measure and manage business risks to maximize shareholder value. The Board periodically reviews the status of compliance and the Company continuously aims to be compliant of all applicable laws at all times.

Management Discussion and Analysis:

A Management Discussion and Analysis Report is included in the Annual Report.

Subsidiaries:

The Company has no Indian listed or non-listed subsidiary. The statement pertaining to Subsidiaries of the Company forms part of the Annexure to the Board's Report.

Compliance with mandatory and non-mandatory requirements of Clause 49 of the listing agreement:

The Company has disclosed all the mandatory requirements under Clause 49 of the Listing Agreement and has set up a Corporate Governance Committee under non-mandatory requirements.

Policies and Best Practices:

Mindteck has formulated various policies and procedures in accordance with the requirements of the Companies Act, 2013, Listing Agreement and applicable SEBI Regulations to maintain transparency, professionalism and accountability in the organization.

Code of Practices and Procedures for Fair Disclosure:

In pursuance to Clause 12(2) of Chapter IV of SEBI (Prohibition of Insider Trading) Regulations, 1992 and Clause 8 of Chapter IV of SEBI (Prohibition of Insider Trading) Regulations, 2015, the Company has adopted a Code for timely, appropriate and adequate disclosure of unpublished price sensitive information. The Company, through this code, provides investors with direct access to analyst briefing material, significant background information and questions and answers on its website.

Board Charter:

Mindteck believes that Corporate Governance as a discipline leads to effectiveness and transparency in the functioning of any corporate entity. Towards this end, Mindteck has adopted a Board Charter which clearly defines the mission, role, structure, responsibilities and operations of the Board of Mindteck and its delegation of authority to management.

Code of Conduct for Prohibition of Insider Trading:

Pursuant to Regulation 12 of the SEBI (Prohibition of Insider Trading) Regulations, 1992 and Clause 9 of Chapter IV of SEBI (Prohibition of Insider Trading) Regulations, 2015, the Company has formulated the "Mindteck Code of Conduct to Regulate, Monitor and Report Trading by Insiders" [as defined in the SEBI (Prohibition of Insider Trading) Regulations, 1992 and 2015] from using unpublished price sensitive information to their advantage. The Company Secretary of the Company is the Compliance Officer for the purpose of this Code of Conduct and maintains a record of the Insiders. No Insider of the Company has violated this Code and no unpublished price sensitive information has been communicated or used by them.

Whistle Blower:

The Company has adopted a Whistle Blower Policy and has established the necessary vigil mechanism in line with Companies Act, 2013 and Clause 49 of the Listing Agreement with the Stock Exchange, for employees to report concerns, alleged wrongful conduct, including unethical behavior, financial irregularities, sexual harassment infringement and misuse of Intellectual Property. It also provides protection against victimization of employees who avail of the mechanism and also allows direct access to the Audit committee. The policy is displayed on the website of the Company.
(Weblink: http: //www.mindteck.com/pdf/policies/ Whistle_Blower_Policy.pdf)

Material Subsidiaries:

The Company has formulated a Policy on Material Subsidiaries and has established the necessary mechanism under Clause 49 of the Listing Agreement. For the purpose of this clause, a subsidiary shall be considered as material if the investment of the company in the subsidiary exceeds twenty per cent of its consolidated net worth as per the audited balance sheet of the previous financial year, or if the subsidiary has generated twenty per cent of the consolidated income of the company during the previous financial year.
(Weblink: http: //www.mindteck.com/pdf/policies/ Material_Subsidiaries_Policy.pdf)

Internal Auditor:

The Audit Committee of the company or the Board shall, in consultation with the Internal Auditor, formulate the scope, functioning, periodicity and methodology for conducting the internal audit. Accordingly the Internal Auditor shall act upon and shall produce the audit report for each quarter before the Audit Committee.

Software Development Centers:

Bengaluru, India:

- Prestige Atlanta, No.10, Industrial Layout
  7th Main, 80 Feet Road, 3rd Block
  Koramangala, Bengaluru – 560 034

Kolkata, India:

- Millennium Towers
  Unit: T-29C, Tower II, Level IX, Plot No. 62, Block DN
  Sector V, Salt Lake, Kolkata – 700 091

Pennsylvania, US:

- 150 Corporate Center Drive
  Suite 200, Camp Hill, PA 17011

Singapore:

- 7B Keppel Road
  #05-09 PSA Tanjong
  Pagar Complex, Singapore 089055

Investor Contacts:
Registered Office Address for correspondence:

Mindteck (India) Limited
Prestige Atlanta, No.10, Industrial Layout
7th Main, 80 Feet Road, 3rd Block
Koramangala, Bengaluru – 560 034, India
Tel: 91 80 4154 8000; Fax: 91 80 4112 5813
For additional information on the Company, refer to website: **www.mindteck.com**

For queries relating to financial statements:

Anand Balakrishnan
Chief Financial Officer
Tel: 91 80 4154 8000 Extn. 8002
E-mail: anand.balakrishnan@mindteck.com

For queries relating to shares/dividend/compliance:

Shivarama Adiga S.
Vice President, Legal & Company Secretary
Tel: 91 80 4154 8000 Extn. 8013
Email: shivarama.adiga@mindteck.com

Address of Registrar and Transfer Agents:

M/s. Universal Capital Securities Pvt. Ltd.
21, Shakil Niwas, Opp. Satya Saibaba Temple
Mahakali Caves Road, Andheri (East), Mumbai - 400 093, India
Contact: Santosh Gamare
Tel: 91 22 2820 7203-05, Fax No: 91 22 2820 7207
Email: gamare@unisec.in

Addresses of Regulatory Authority/Stock Exchanges:

Securities and Exchange Board of India (SEBI)
Plot No. C4-A, G Block, Bandra Kurla Complex
Bandra (East), Mumbai 400 051, India
Tel: 91 22 2644 9000/4045 9000
Fax: 91 22 2644 9016/20
Email: sebi@sebi.gov.in

Registrar of Companies, Karnataka
'E' Wing, 2nd Floor, Kendriya Sadana, Koramangala
Bengaluru – 560 034, India
Tel: 91 80 2563 3105 (Direct) 91 80 2553 7449/91 80 2563 3104
Fax: 91 80 2553 8531
E-mail: roc.bangalore@mca.gov.in

Bombay Stock Exchange Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001, India
Tel: 91 22 2272 1233/4, 91 22 6654 5695
Fax: 91 22 2272 1919

Depository for Equity Shares-India:

National Securities Depository Limited
Trade World, A Wing, 4th and 5th Floors
Kamala Mills Compound, Senapathi Bapat Marg
Lower Parel, Mumbai – 400 013, India
Tel: 91 22 2499 4200
Fax: 91 22 2497 6351
Email: info@nsdl.co.in

Central Depository Services (India) Limited
17th floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai 400 001, India
Tel: 91 22 2272 3333
Fax: 91 22 2272 3199
Email: helpdesk@cdslindia.com

D. INFORMATION FOR SHAREHOLDERS

Corporate Profile:

Mindteck (India) Limited was incorporated in Mumbai in 1991 as Hinditron Informatics Limited under the Companies Act, 1956. The name was changed to Mindteck (India) Limited in September, 1999. Later on, in the year 2006, the registered office of the Company was shifted from Mumbai to Bengaluru. The Company's CIN is L30007KA1991PLC039702.

Forthcoming Annual General Meeting (AGM):

AGM for the year 2014 -15 is scheduled on Tuesday, August 11, 2015 at 12:00 Noon at Hotel Woodlands, "Mini Hall" No-5, Rajaram Mohan Roy Road, Bengaluru-560025.

Location and time of last three AGMs held:

Table No. 08

Date of AGM	Time of AGM	Location
August 07, 2012	3:00 PM	St. Marks Hotel, 4/1, St. Marks Road, Bengaluru-560001
September 27, 2013	11:30 AM	Hotel Woodlands, "Chandani Hall" No-5, Rajaram Mohan Roy Road Bengaluru-560025
August 14, 2014	11.00 AM	Hotel Woodlands, "Chandani Hall" No-5, Rajaram Mohan Roy Road Bengaluru-560025

The following special resolutions were passed by the Company in its last three Annual General Meetings:

Table No. 09

August 7, 2012	Issue and Allot 64,299 Equity Shares to Independent Shareholder of Chendle Holdings Ltd.
September 27, 2013	Appointment and Payment of Remuneration to Mr. Yusuf Lanewala as Managing Director and Group CEO
August 14, 2014	1. Appointment and Payment of Remuneration to Mr. Dayananda Shetty as an Executive Director of the Company 2. Appointment and Payment of Remuneration to Mr. Meenaz Dhanani as an Executive Director of the Company 3. Re-Appointment and Payment of Remuneration to Mr. Yusuf Lanewala as Managing Director and CEO of the Company 4. Appointment of Mr. Javed Gaya as an Independent Director 5. Payment of Profit-related Commission to Non-Executive Directors, including Independent Directors 6. Introduction of Mindteck Employees Stock Option Scheme 2014 to the employees of the Company 7. Introduction of Mindteck Employees Stock Option Scheme 2014 to the permanent employees of the Holding Company(ies) of the Company and/or Subsidiary Company(ies) of the Company

There was no postal ballot taken during the year and no special resolutions were passed through the postal ballot procedure.

Financial Year: April 01, 2014 to March 31, 2015

Book Closure dates for the forthcoming AGM:

August 05, 2015 to August 11, 2015 (both days inclusive).

The Company's equity shares are listed on the Bombay Stock Exchange Limited ('BSE') as at March 31, 2015 and Scrip code is “517344”.

An Annual Listing fee for the year 2015-16 has been paid by the Company to the Bombay Stock Exchange. The Annual Custodial fee for the year 2015-16 has been paid by the Company to NSDL and CDSL.

Dividend:

Subject to the provisions of the Companies Act, 2013, dividend as recommended by the Board of Directors, if declared at the meeting, will be paid within a period of 30 days from the date of declaration, to those members whose names appear on the Register of Members as on August 04, 2015.

Share Transfer System:

The Company’s Registrars and Share Transfer Agent, M/s. Universal Capital Securities Pvt. Ltd. (formerly Mondkar Computers Private Limited), processes shares sent for transfer/transmission, etc. in two batches every month and ensures that the share transfers/ transmissions, etc. are effected within stipulated time. Transfers/ transmissions which are complete in all respects are processed and the certificates in respect thereof are returned to the lodger/ shareholder within 15 days of lodgments.

Secretarial Audit:

As per the requirements of Regulation 55A of SEBI (Depositories and Participants) Regulations, 1996 and as a measure of good Corporate Governance practice, the Company has appointed Mr. Rajnikant N. Shah, Practicing Company Secretary, to undertake the reconciliation of the share capital of the Company and submit a report to the BSE. The audit reconciles on a quarterly basis, the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) with the total issued and listed capital of the Company. The audit has confirmed that the total issued/paid up capital is in agreement with the aggregate total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

During the year, CS S. Kannan, Practicing Company Secretary, was appointed to conduct the Secretarial Audit of the company for the Financial Year 2014-15, as required under Section 204 of the Companies Act, 2013 and Rules thereunder. The Secretarial Audit Report for the FY 2014-15 annexed to the Board’s Report.

The Board noted the reports given by Secretarial Auditor and confirmed that there are no qualification, reservations or adverse remark or disclaimers. The observation made by him is also noted and the justification for the same is provided under Note 3.1.1 (b) under Notes to Financial Statements.

Dematerialization of shares and liquidity:

The Company’s shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in India viz. National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL). Equity Shares of the Company representing 98.21% of the Company’s equity share capital are dematerialized as on March 31, 2015. The Company continues to facilitate requests for dematerialization of shares on a regular basis and the request can be routed through RTA M/s. Universal Capital Securities Private Limited (formerly Mondkar Computers Private Limited). Under the Depository system, the International Securities Identification Number (ISIN) allotted to Mindteck shares is INE110B01017.

Investors’ complaints

Table No. 10

Nature of Complaint	2014-15		2013-14	
	Received	Attended	Received	Attended
No. of investor issues	Nil	Nil	1	1
No. of legal cases in the matter	Nil	Nil	Nil	Nil

There are no legal proceedings related to disputes in the matter of Shares of the Company.

Shareholding Pattern as on March 31, 2015:

Table No. 11

Sl. No.	Particulars	No. of shares	% of holding
1.	Shareholding of Promoter and Promoter Group	16,169,857	64.52
2.	Bodies Corporate	232,386	0.93
3.	Institutions	25	0.00
4.	Individuals	2,834,495	11.31
5.	NRI/OCBs	644,669	2.57
6.	Clearing Members	56,333	0.22
7.	Foreign National	205,671	0.82
8.	Foreign Corporate Bodies	3,683,527	14.70
9.	Foreign Bank	0.00	0.00
10.	Mindteck Employees Welfare Trust	416,000	1.66
11.	Mindteck Investors Trust	820,008	3.27
	Total	**25,062,971**	**100.00**

Shareholders holding more than 1% of the Company (other than promoters of the Company):

Table No. 12

Sl. No.	Name of the shareholders	No. of shares	% of holding
1.	First Asian Investments, S.A.	1,390,569	5.55
2.	Banco Efisa, S.A.	1,229,211	4.90
3.	Mindteck Investors Trust	820,008	3.27
4.	Tadhamon International Islamic Bank	802,000	3.20
5.	Mindteck Employees Welfare Trust	416,000	1.66
6.	Infotech Ventures Ltd	261,747	1.04

Distribution of Shareholding as on March 31, 2015:

Table No. 13	As on March 31, 2015				As on March 31, 2014			
Range	Shareholders		Shares		Shareholders		Shares	
No. of Shares	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total
1 – 500	7,911	89.36	695,256	2.77	7,244	92.27	535,371	2.14
501 – 1,000	451	5.09	383,493	1.53	270	3.43	226,679	0.91
1,001 – 2,000	220	2.48	337,768	1.35	142	1.80	219,661	0.88
2,001 – 3,000	93	1.05	239,264	0.96	52	0.66	132,117	0.53
3,001 – 4,000	39	0.44	137,442	0.58	29	0.37	100,861	0.40
4,001 – 5,000	37	0.42	173,074	0.69	21	0.27	97,834	0.39
5,001 –10,000	58	0.66	460,072	1.83	47	0.60	343,350	1.38
10,001 & above	44	0.50	22,636,602	90.32	46	0.60	23,324,198	93.37
Total	**8,853**	**100**	**25,062,971**	**100**	**7,851**	**100**	**24,980,071**	**100.00**

Unclaimed Dividend:

Section 205A (5) and 205C of the Companies Act, 1956, mandates that companies transfer Dividend that has been unclaimed for a period of seven years from Unpaid Dividend Account to the Investor Education and Protection Fund (IEPF). In accordance with the following schedule, the Dividend for the years mentioned as follows, if unclaimed within a period of seven years, will be transferred to IEPF.

Table No. 14

Dividend Year	Type of Dividend	Dividend Rate	Date of Declaration	Due date for transfer to IEPF	Amount Unclaimed(1) Rs.
2007-08	Final Dividend	5%	30-07-2008	03-09-2015	45,794.00
2013-14	Final Dividend	10%	14-08-2014	18-10-2021	109,304.00

(1) Amount unclaimed as at March 31, 2015

The Shareholders may write to M/s. Universal Capital Securities Pvt. Ltd before the due dates to claim their unclaimed dividend. Shareholders are cautioned that once unclaimed dividend is transferred to IEPF account, no claim shall lie in respect thereof with the Company.

The statement of the unclaimed dividend amount as on March 31, 2015, as prescribed under Form 5 INV, has been published on the website of the company.

In accordance with the above provision, during the year 2014-15 Rs. 83,070.00 was credited to the Investor Education and Protection Fund Account.

Communication to the Shareholders:

(i) Quarterly Results:

The Company has published its quarterly financial results in the Business Standard (English)/Financial Express(English) and Hosadigantha (Bengaluru Edition - Kannada) newspapers during the year ended March 31, 2015. The results have also been submitted to the Bombay Stock Exchange where the Company's equity shares are listed and published on the Company's website (www.mindteck.com).

(ii) News Releases and Presentations:

Official news releases, detailed presentations made to media, analysts, etc. are displayed on the Company's web site: (www.mindteck.com).

(iii) Website:

The Company's web site www.mindteck.com contains a separate dedicated "Investors" section where all the shareholders' information is available, along with the full Annual Report of the Company.

(iv) Annual Report:

The Annual Report of the Company containing the annual audited financial statements, both standalone and consolidated, along with the Auditors' Report thereon, the Board's Report, Management Discussion and Analysis Report and other important information, is circulated to the shareholders of the Company holding shares in physical format. We have also sent soft copies of the Annual Report, along with all the above listed documents, to all the investors whose email ID is registered/ made available to us as per the guidelines of the "Green Initiative" instituted by Ministry of Corporate Affairs.

(v) Soft Copies:

The Ministry of Corporate Affairs (MCA) has taken a "Green Initiative in Corporate Governance" (Circular No. 17/2011 dated April 21, 2011 and Circular No. 18/2011 dated April 29, 2011) by allowing paperless compliances by Companies through electronic mode. Thus, Companies are now permitted to send various notices/documents, including Annual Reports, to its shareholders through electronic mode. We request all shareholders to be a part of this "Green Initiative" by updating their email IDs for all future correspondence with their respective DPs (for shares held in Demat form) or to the email ID of RTA, viz. M/s. Universal Capital Securities Private Limited by sending an email to mindteck.investors@unisec.in or to the Company Secretary, to shivarama.adiga@mindteck.com. The soft copy of the Annual Report will be made available on the website of the Company. Any shareholder of the Company can also opt for a physical copy by writing to shivarama.adiga@mindteck.com. If not opted, it is deemed to be accepted to send a soft copy though e-mail.

Market Price Data: High/Low of Company's equity shares on the Bombay Stock Exchange, Mumbai during each month in the year ended March 31, 2015:

Table No. 15

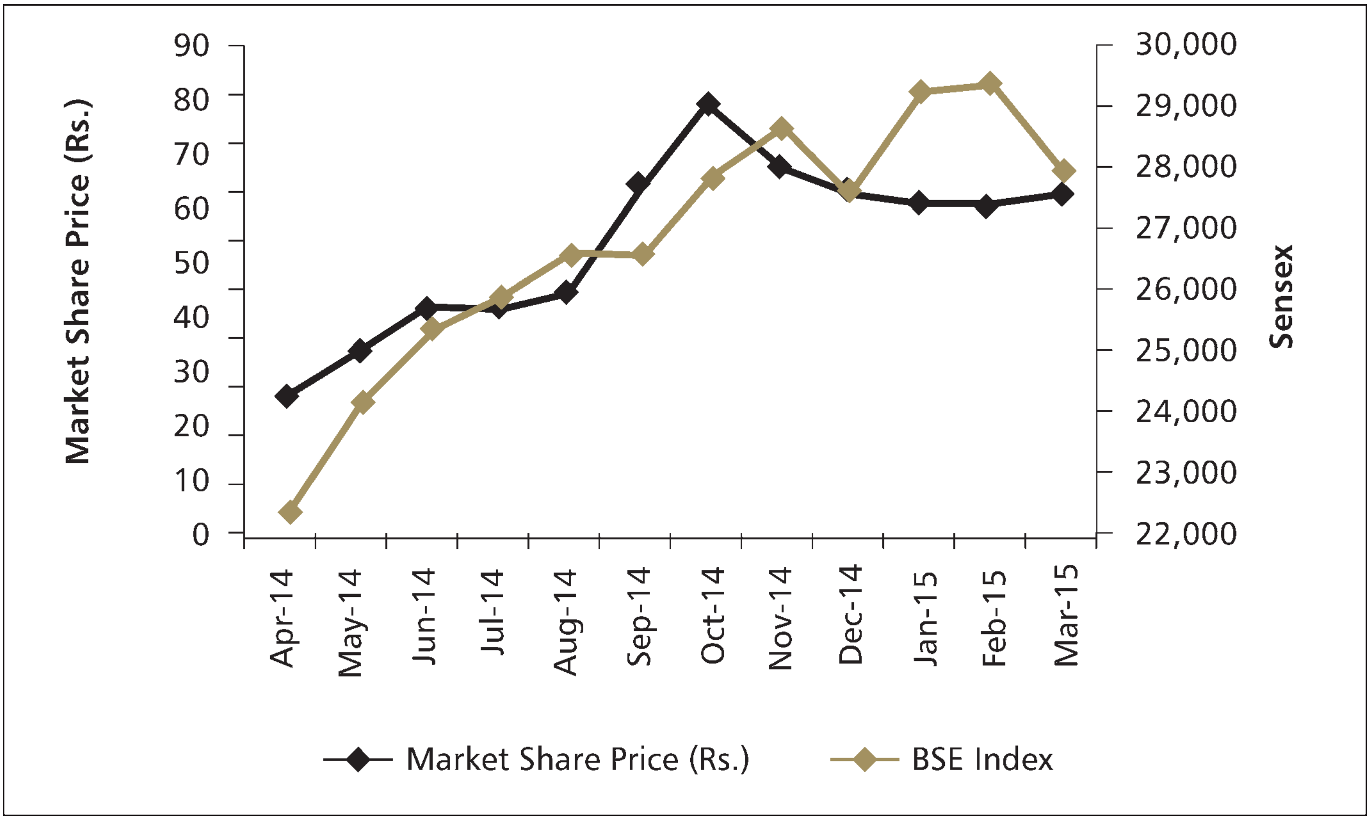
Month	Sensex		Share Price		Trade	
	High	Low	High Rs.	Low Rs.	No. of shares traded	Value Rs.
April 2014	22,939.31	22,197.51	33.35	27.35	220,342	6,476,265
May 2014	25,375.63	22,277.04	39.80	26.00	640,301	21,404,042
June 2014	25,725.12	24,270.20	49.00	33.20	857,444	34,836,922
July 2014	26,300.17	24,892.00	46.25	37.00	229,303	9,544,696
August 2014	26,674.38	25,232.82	48.85	40.95	412,737	18,665,658
September 2014	27,354.99	26,220.49	69.50	44.00	1,091,341	63,321,396
October 2014	27,894.32	25,910.77	82.90	63.05	870,197	64,942,573
November 2014	28,822.37	27,739.56	85.00	58.50	835,907	57,288,023
December 2014	28,809.64	26,469.42	76.90	55.00	416,650	27,830,220
January 2015	29,844.16	26,776.12	69.80	60.00	377,129	24,052,909
February 2015	29,560.32	28,044.49	72.50	57.00	426,475	26,940,002
March 2015	30,024.74	27,248.45	74.00	58.10	732,134	48,490,634

Performance in comparison to broad-based BSE Index and BSE IT Index:

Table No. 16

Month	Closing share price on month's last trading day (Rs.)	BSE Index	BSE IT Index
April 2014	27.90	22417.80	8758.17
May 2014	34.10	24217.34	8509.07
June 2014	42.00	25413.78	9409.61
July 2014	42.45	25894.97	9832.41
August 2014	45.00	26638.11	10175.90
September 2014	64.30	26630.51	10759.97
October 2014	79.05	27865.83	10744.63
November 2014	68.10	28693.99	11233.20
December 2014	62.90	27499.42	10609.03
January 2015	61.20	29182.95	11164.56
February 2015	60.85	29361.50	11951.66
March 2015	63.90	27957.49	11392.14

Performance of Mindteck shares in comparison to BSE Index:



(Source data: www.bseindia.com)

for and on behalf of the Board of Directors

Bengaluru, India
Date: May 29, 2015

Yusuf Lanewala
Chairman and Managing Director

DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT

This is to confirm that the Company has adopted a Code of Business Conduct and Ethics for its Senior Management including the Managing Director and Non-Executive Directors/Independent Directors. I confirm that the Company has, in respect of the financial year ended March 31, 2015, received from the Senior Management Team of the Company and the Members of the Board, a declaration of compliance with the Code of Business Conduct and Ethics as applicable to them.

for and on behalf of the Board of Directors

Bengaluru, India
Date: May 29, 2015

Yusuf Lanewala
Chairman and Managing Director